Kartly: Sales Performance Analysis

Data: 250,000 orders, 2,000 products, 40,000 customers, Jun 2024 to Jun 2026. All amounts in INR; 1 crore (Cr) = 10 million.

Step 1: What performance means

Net revenue = Total_Amount of orders with status Delivered (order value plus shipping less coupon). It reconciles exactly to the Customers file Total_Spent (difference 0). Gross order value across all statuses is ₹593.1 Cr versus net revenue ₹474.2 Cr: a ₹118.9 Cr gap (cancelled ₹30.2 Cr, returned ₹30.0 Cr, in-flight ₹58.7 Cr) that is the likely reason two teams reported different figures. I chose net revenue because orders and units can mislead: Electronics AOV is ₹64,269 against about ₹900 for Books, so one order is not the same size across categories.

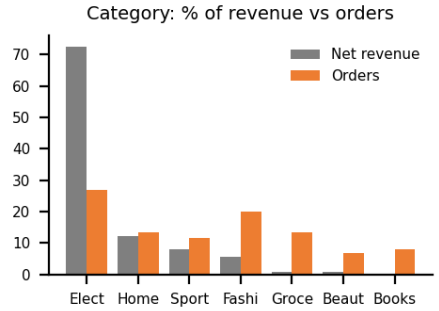
Metric	Definition	Why it is used
Net revenue	Sum of Total_Amount, Order_Status = Delivered	Single agreed number
Contribution index	Share of net revenue ÷ share of delivered orders	Separates categories that carry value (>1) from those adding volume (<1)
Average order value (AOV)	Net revenue ÷ delivered orders	Basket quality; compares segments of different size
Revenue per active customer	Net revenue ÷ customers with 1+ delivered order	Customer value, independent of segment size
Repeat revenue share	Revenue from customers with 2+ delivered orders ÷ net revenue	Dependence on repeat buyers
Leakage rate	(Cancelled + returned value) ÷ gross order value	Revenue lost after the customer decided to buy
Spend-to-revenue index	Net revenue share ÷ even-split marketing share (1/7)	Tests whether marketing is aimed where revenue is made

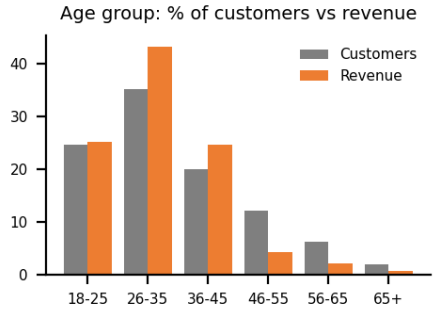
Supporting views: orders, units and gross value are shown but not used as the main measure. Year-on-year compares Jun-24 to May-25 with Jun-25 to May-26.

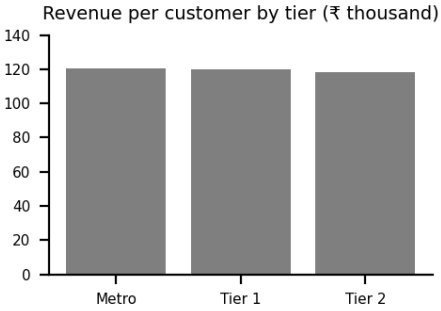
Step 2: Questions I wrote before analysing

#	Question
1	Which categories carry the business and which only add order volume (contribution index)?
2	Do revenue, orders and units tell the same story, and which metric holds up?
3	Within the leading categories, how concentrated is revenue in sub-categories, price bands and products?
4	Is marketing spend, split evenly across categories, aimed where net revenue is created?
5	Are the largest revenue contributors also the most valuable (AOV, revenue per customer, leakage)?
6	How much do Tier 1 and Tier 2 cities differ from metros once the national average is split?
7	How much revenue comes from repeat versus one-time customers, and how concentrated is it in top customers?
8	Which customer groups (age, tier, tenure) differ most in value, and what explains the gap?
9	Does a flat total hide movement, either by category year on year or by month?
10	How much value leaks through cancellations and returns, and does it vary by category, payment mode or city?
11	Do coupons and deeper product discounts raise basket size or units?
12	If the largest gap were closed, how large is the prize in rupees?

Step 3: First findings (where it is uneven and where it is not)







Finding (one line, with number)
Category. Electronics gives 72.6% of net revenue (₹344.3 Cr) from 26.8% of orders (index 2.71x). Home 12.1%, Sports 8.0%, Fashion 5.6%.
Volume without value. Books, Beauty and Grocery are 28.2% of delivered orders but 1.7% of net revenue (index 0.06x).
Definition. Gross ₹593.1 Cr versus net ₹474.2 Cr: a ₹118.9 Cr gap explains the two conflicting revenue figures.
Customer age. Customers 46+ are 20.1% of customers and 20.2% of orders but 7.1% of revenue; none bought Electronics.
Cities. Largest city 2.87% of revenue, smallest 2.28% (1.26x across 39 cities). Revenue per customer: Metro ₹120,375, Tier 1 ₹120,077, Tier 2 ₹118,387 (spread 1.7%).
Repeat. Repeat buyers are 96.7% of customers and 99.3% of revenue; 5+ order customers 73.5%. Top 10% of customers give 29.8%. Tenure cohorts differ by only 1.8% in value.
Trend. Net revenue is +0.2% year on year; categories range -0.3% to +3.0%. No category is collapsing or doubling.
Leakage. 10.2% of gross value (₹60.3 Cr) is cancelled or returned, flat across categories (9.7% to 10.6%) and payment modes (COD is not worse).
Promotions. SAVE10 lifts AOV by 1.5% but costs ₹4.9 Cr on delivered orders; deeper product discounts do not raise units per order.
Marketing. An even split gives Books, Beauty and Grocery 42.9% of budget for 1.7% of revenue; 58.3% of budget would move to match revenue shares.

Step 4: Deep dives (3 chains, 4 levels each)

Chain	L1	L2	L3	L4
1. Electronics concentration	72.6% of revenue, 26.8% of orders	Five sub-categories between 17.9% and 21.9%; HP Laptop leads, Apple iPhone lowest	Units priced ₹50K+ give 75.2% of Electronics revenue	129 products (6.5% of catalogue) make half of revenue; all buyers are 18-45
2. Age decides category access	46+ are 20% of customers, 7.1% of revenue	Same orders per customer (about 5.0); AOV ₹8,293 vs ₹27,584	Each age group buys 3 of 7 categories; 46+ buy zero Electronics	Platinum: 78% of 18-45 vs 33% of 46+; revenue per customer ₹41,865 vs ₹138,900
3. Leakage and promotions	Gross ₹593.1 Cr to net ₹474.2 Cr	10.2% lost to cancel + return, split evenly	Uniform by category (9.7%-10.6%) and payment mode	Electronics holds 72.4% of lost value; SAVE10 costs ₹4.9 Cr, AOV +1.5%

Leadership summary

Kartly is an Electronics business bought by customers aged 18-45. Net revenue is ₹474.2 Cr and flat year on year (+0.2%). Electronics produces 72.6% of it; Home and Sports add 20.1%. Cities, tenure, payment mode and discounts barely separate performance, so they should not drive the plan.

Leadership question	Answer	Action
Which categories carry the business?	Electronics (72.6% of revenue, 2.7x its order share), then Home and Sports. Books, Beauty and Grocery are 28% of orders but 1.7% of revenue.	Invest in Electronics range and availability; expand Home next; run the three low-value categories as traffic builders.
Is marketing going to the right places?	No. Even split sends 42.9% of budget to categories making 1.7% of revenue; 58.3% of budget would move to match revenue shares. No spend data was available, so returns per rupee are untested.	Shift budget toward Electronics, Home and Sports through a measured test before a full re-split.
Are the largest contributors the most valuable?	Categories: yes, Electronics has the top AOV (₹64,269). Customers: 46+ are 20% of customers but 7.1% of revenue, as none buy Electronics.	Target 46+ customers with an Electronics offer; they already order about 5 times each.
How do smaller cities differ?	Barely: revenue per customer within 1.7% across Metro, Tier 1, Tier 2; Tier 2 supplies 46% of revenue.	Do not pull back from Tier 2. Choose new cities on acquisition cost, which this data cannot show.
Repeat versus one-time revenue?	Repeat customers give 99.3% of revenue; 5+ order customers 74%; top 10% of customers 30%.	Protect the repeat base through delivery reliability and retention.
What is leaking?	10.2% of gross value (₹60.3 Cr) is cancelled or returned, evenly everywhere. SAVE10 costs ₹4.9 Cr for a 1.5% AOV lift.	Fix cancellations and returns end to end; review SAVE10.

Impact of the actions

Action	Basis	Net revenue impact
Electronics to 46+ customers	5% of their orders become Electronics orders	+₹11.3 Cr (2.4%)
Ceiling for the same gap	46+ reach the revenue per customer of 18-45; upper bound, not a forecast	+₹77.6 Cr (16.4%)
Cut cancel + return rate by 1 point	Recovered orders assumed delivered	+₹5.9 Cr (1.3%)
Retire SAVE10	Discount on delivered orders; a saving only if no orders are lost	₹4.9 Cr (1.0%)

Priorities for next year

Invest: Electronics availability, pricing and delivery on the few hundred products that drive half of revenue; Home as the next expansion category. **Grow:** Electronics adoption among customers aged 46+. **Pull back or rethink:** even marketing splits, and the SAVE10 coupon. **Hold:** Tier 2 presence and existing city footprint; the data gives no case to cut or to favour any city. **Fix:** the 10% cancellation and return leakage, which is process-wide rather than a hot spot.

Limits. Revenue is not profit: no cost, margin or marketing data was supplied. Impact figures are scenarios with stated inputs (editable in the workbook, Working tab section 10), not forecasts. Several patterns are unusually uniform (5.0% cancel and 5.0% return in every category; equal orders per customer by age group), which is worth confirming with the data owner.